UCHUMI SUPERMARKETS LIMITED
(IN RECEIVERSHIP) AND SUBSIDIARIES

ANNUAL REPORT

AND FINANCIAL STATEMENTS

30 JUNE 2007

ERNST & YOUNG

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
REPORT OF THE SPECIALIST RECEIVER MANAGER AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2007

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UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
COMPANY INFORMATION
FOR THE YEAR ENDED 30 JUNE 2007

PRINCIPAL PLACE OF BUSINESS
Uchumi Supermarkets Limited (In Receivership)
Yarrow Road,
Off Nanyuki Road
P. O. Box 73167
00200 NAIROBI.

REGISTERED OFFICE
Uchumi Supermarkets Limited (In Receivership)
Yarrow Road
Off Nanyuki Road
P. O. Box 73167
00200 NAIROBI.

BANKERS
Kenya Commercial Bank Limited
Kencom House
Moi Avenue
P. O. Box 48400
00100 NAIROBI.

Eastern and Southern African Trade and Development Bank (PTA Bank)
NSSF Building
Bishops Road
P. O. Box 48596
00100 NAIROBI

AUDITOR
Ernst & Young
Kenya Re Towers – Upper Hill
P. O. Box 44286
00100 NAIROBI

REGISTRARS
Funguo Registrars Limited
Uchumi House
Moi Avenue
P.O Box 1133
00200 NAIROBI

SPECIALIST RECEIVER MANAGER
Jonathan Ciano
Uchumi Supermarkets Limited (In Receivership)
Yarrow Road,
Off Nanyuki Road
P. O. Box 73167
00200 NAIROBI.

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
REPORT OF THE SPECIALIST RECEIVER MANAGER
FOR THE YEAR ENDED 30 JUNE 2007

The Specialist Receiver Manager submits his report and the audited financial statements for the year ended 30 June 2007 which show the state of the group's affairs.

1. PRINCIPAL ACTIVITIES

The principal activity of the company is that of operating retail supermarkets. The activities of the subsidiary companies are those recorded in note 5 to the financial statements.

2. OPERATIONS OF THE COMPANY

On 31 May 2006, the Board and Management of Uchumi Supermarkets Limited passed a resolution to cease trading and the company operations were shut down, a closure that lasted from 1 June 2006 to 14 July 2006.

Following the decision to cease trading, the company's debenture holders were compelled to appoint Receiver Managers on 02 June 2006. Subsequently, the Government of Kenya appointed a Task Force, in collaboration with the debenture holders, to work out a 'rescue plan' for the company. On the recommendation of the Task Force, a Framework Agreement relating to a business rescue plan was drawn and was entered into between the company, debenture holders, the Government of Kenya and unsecured creditors.

On 14 July 2006, the debenture holders appointed a Specialist Receiver Manager and the company re-opened for operations on 15 July 2006.

3. GROUP RESULTS

The group's results are set out on page 8.

4. DIVIDEND

The directors do not recommend the payment of a dividend for the year.

5. RESERVES

The reserves of the group and the company are set out on page 26, note 12.

6. MANAGEMENT

From 02 June 2006 to 14 July 2006, the management of the company was under the Receiver Managers, who were appointed by the debenture holders.

From 15 July 2006 to the date of this report, the management of the company was under the Specialist Receiver Manager.

7. FINANCIAL STATEMENTS

At the date of this report, the Specialist Receiver Manager was not aware of any circumstances which would have rendered the values attributed to assets and liabilities in the financial statements of the group, misleading.

8. AUDITORS

Ernst & Young have expressed their willingness to continue in office.

Jonathan Ciano
Specialist Receiver Manager

29th Feb 2008

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
STATEMENT OF SPECIALIST RECEIVER MANAGER'S RESPONSIBILITIES
ON THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2007

The Kenyan Companies Act requires the Directors and the Specialist Receiver Manager to prepare financial statements for each financial year, which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group and of the company for that year. It also requires the Specialist Receiver Manager to ensure the group and the company keep proper accounting records which disclose, with reasonable accuracy, the financial position of the group and the company. He is also responsible for safeguarding the assets of the group

The Directors and the Specialist Receiver Manager accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The Specialist Receiver Manager is of the opinion that the financial statements give a true and fair view of the state of the financial affairs and of the operating results of the group and the company. The Specialist Receiver Manager further accepts responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The financial statements have been prepared on a going concern basis which assumes continued financial support from the debenture holders, shareholders, bankers and suppliers.

....
Specialist Receiver Manager

29th Feb 2008
Date

ERNST & YOUNG

Certified Public Accountants
Kenya-Re Towers, Upperhill
Off Ragati Road
P.O. Box 44286
00100 Nairobi GPO
Kenya

Phone: + 254 20 2715300
Fax: + 254 20 2716271
E-mail: info@ey.co.ke
Website: www.ey.com/easternafrica

REPORT OF THE INDEPENDENT AUDITORS
TO THE SPECIALIST RECEIVER MANAGER OF
UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES

We have audited the accompanying consolidated financial statements of Uchumi Supermarkets Limited (In Receivership), the company and its subsidiaries (together, the group), as set out on pages 7 to 34, which comprise the consolidated balance sheet as at 30 June 2007 and the consolidated income statement, consolidated statement of changes in equity and consolidated cash flow statement for the year then ended, together with the balance sheet of the company as at 30 June 2007, the income statement and statement of changes in equity of the company for the year then ended and a summary of significant accounting policies and other explanatory notes.

SPECIALIST RECEIVER MANAGER'S RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

As stated on page 4, the Specialist Receiver Manager is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depended on our professional judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal control relevant to the group's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Specialist Receiver Manager, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

The financial statements have been prepared on a going concern basis which assumes continued financial support from debenture holders, bankers, shareholders and suppliers.

However, since year end, the group has put in place the Uchumi Rescue Plan (URP) whose mandate is derived from a 'Framework Agreement' with the Government of Kenya and other stakeholders aimed at turning around the business. One of the group's turnaround strategies under the URP is the engagement of a strategic equity partner (SEP) to address restructuring of the operations and at the time of reporting, significant progress had been made in implementing the plan.

Other Offices: NAKURU, MOMBASA, ELDORET.

C.A. Otolo, J.K. Geita, P.M. Kamau, G.G. Karuu, J.K.C. Cheboror, A.S. Gilani, P.N. Anchinga, C.O. Atinda, H.C. Wasike, G.S. Santokh, G. Gitahi.

ERNST & YOUNG

OPINION

In our opinion, except for the matter referred to above, the accompanying financial statements give a true and fair view of the state of financial affairs of the group and of the company as at 30 June 2007 and of the loss of the group and the company and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act

EMPHASIS OF MATTER

Without qualifying our opinion further, we draw your attention to note 4 of the financial statements which indicates that title to leasehold land valued at KShs.110 million could be defective. No impairment losses have been recognised in these financial statements as the Receiver Manager believes that the company holds a good title to the land.

Report on Other Legal Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit that:

i) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
ii) In our opinion, proper books of account have been kept by the group, so far as appears from our examination of those books;
iii) The group's and company's balance sheets and income statements are in agreement with the books of account.

Ernst & Young

Nairobi

26 March ...2008

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEET
AS AT 30 JUNE 2007

	Note	2007 KShs'000	2006 KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	3(a)	668,562	790,770
Prepaid operating lease rentals	4	151,658	151,929
Intangible assets	6	-	61,308
		820,220	1,004,007
CURRENT ASSETS			
Inventories	7	520,050	295,202
Trade and other receivables	8	137,389	123,767
Tax recoverable	23	11,147	11,147
Short term deposits		22,000	-
Cash and bank balances		72,951	57,001
		763,537	487,117
TOTAL ASSETS		1,583,757	1,491,124
SHAREHOLDERS' EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	11	900,000	900,000
Reserves	12	(1,892,385)	(1,631,647)
		(992,385)	(731,647)
NON-CURRENT LIBILITIES			
Term loans	13	1,597,950	802,472
CURRENT LIABILITIES			
Trade and other payables	14	856,477	1,221,361
Amounts due to related parties	9	8,110	6,121
Debenture loan	13	22,000	-
Term loans	13	72,569	-
Bank overdraft	15	19,036	192,817
		978,192	1,420,299
TOTAL SHAREHOLDERS FUNDS AND LIABILITIES		1,583,757	1,491,124

The financial statements were approved on 29th Feb 2008 and signed on its behalf by:-

..............) Specialist Receiver Manager

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 30 JUNE 2007

	Note	2007 KShs'000	2006 KShs'000
SALES	16	4,503,241	3,551,833
COST OF SALES	17	(3,694,845)	(2,907,847)
GROSS PROFIT		808,396	643,986
OTHER INCOME	18	152,333	141,500
		960,729	785,486
EXPENSES:-			
Administration and establishment	19	(1,016,826)	(1,314,510)
Selling and distribution	20	(48,339)	(54,202)
		(1,065,165)	(1,368,712)
LOSS FROM OPERATING ACTIVITIES		(104,436)	(583,226)
FINANCE COSTS	21	(152,124)	(167,854)
LOSS BEFORE TAXATION	22	(256,560)	(751,080)
TAXATION	23	-	-
LOSS AFTER TAXATION		(256,560)	(751,080)
LOSS PER SHARE			
Basic and diluted	26	(1.43)	(4.17)

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
BALANCE SHEET OF THE COMPANY
AS AT 30 JUNE 2007

	Note	2007 KShs'000	2006 KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	3(b)	624,747	738,763
Prepaid operating lease rentals	4	49,224	49,495
Investment in subsidiaries	5	-	-
Intangible assets	6	-	61,308
		673,971	849,566
CURRENT ASSETS			
Inventories	7	475,739	270,361
Trade and other receivables	8	114,342	109,174
Amounts due from related parties	9	169,268	166,743
Short term deposits		22,000	-
Tax recoverable	23	11,147	11,147
Cash and bank balances		47,442	30,973
		839,938	588,398
TOTAL ASSETS		1,513,909	1,437,964
SHAREHOLDERS' EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	11	900,000	900,000
Reserves	12	(1,852,085)	(1,602,344)
		(952,085)	(702,344)
NON CURRENT LIABILITIES			
Term loans	13	1,597,950	802,472
CURRENT LIABILITIES			
Trade and other payables	14	756,088	1,138,898
Amount due to related parties	9	8,110	6,121
Debenture loan	13	22,000	-
Term loans	13	72,569	-
Bank overdraft	15	9,277	192,817
		868,044	1,337,836
TOTAL SHAREHOLDERS FUNDS AND LIABILITIES		1,513,909	1,437,964

The financial statements were approved on 29th Feb 2008 and signed on its behalf by:-

(signed)) Specialist Receiver Manager

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
INCOME STATEMENT OF THE COMPANY
FOR THE YEAR ENDED 30 JUNE 2007

	Note	2007 KShs'000	2006 KShs'000
SALES	16	3,883,013	3,061,950
COST OF SALES	17	(3,190,890)	(2,492,075)
GROSS PROFIT		692,123	569,875
OTHER INCOME	18	134,230	122,057
		826,353	691,932
EXPENSES:-			
Administration and establishment	19	(876,179)	(1,203,270)
Selling and distribution	20	(43,421)	(51,386)
		(919,600)	(1,254,656)
LOSS FROM OPERATING ACTIVITIES		(93,247)	(562,724)
FINANCE COSTS	21	(156,494)	(167,854)
LOSS BEFORE TAXATION	22	(249,741)	(730,578)
TAXATION	23	-	-
LOSS AFTER TAXATION		(249,741)	(730,578)
LOSS PER SHARE			
Basic and diluted	26	(1.39)	(4.06)

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2007

	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Translation reserve KShs'000	Accumulated losses KShs'000	Total KShs'000
At 1 July 2005	300,000	129,452	167,403	(8,610)	(1,702,051)	(1,113,806)
Translation differences	-	-	-	(191)	-	(191)
Transfer of excess depreciation	-	-	(20,056)	-	20,056	-
Deferred income tax on transfer	-	-	6,017	-	(6,017)	-
Released on disposals	-	-	(16,343)	-	16,343	-
Deferred income tax on disposals	-	-	4,903	-	(4,903)	-
Rights issue	600,000	533,430	-	-	-	1,133,430
Loss for the year	-	-	-	-	(751,080)	(751,080)
At 30 June 2006	900,000	662,882	141,924	(8,801)	(2,427,652)	(731,647)
At 1 July 2006	900,000	662,882	141,924	(8,801)	(2,427,652)	(731,647)
Transfer of excess depreciation	-	-	(3,266)	-	3,266	-
Deferred income tax on transfer	-	-	980	-	(980)	-
Loss for the year	-	-	-	-	(256,560)	(256,560)
Translation differences	-	-	-	(4,178)	-	(4,178)
At 30 June 2007	900,000	662,882	139,638	(12,979)	(2,681,926)	(992,385)

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP)
STATEMENT OF CHANGES IN EQUITY OF THE COMPANY
FOR THE YEAR ENDED 30 JUNE 2007

	Share capital KShs'000	Share premium KShs'000	Revaluation reserve KShs'000	Accumulated losses KShs'000	Total KShs'000
At 1 July 2005	300,000	129,452	167,403	(1,702,051)	(1,105,196)
	-	-	(20,056)	20,056	-
Deferred income tax on transfer	-	-	6,017	(6,017)	-
Released on disposals	-	-	(16,343)	16,343	-
Deferred income tax on disposals	-	-	4,903	(4,903)	-
Rights issue	600,000	533,430	-	-	1,133,430
Loss for the year	-	-	-	(730,578)	(730,578)
At 30 June 2006	900,000	662,882	141,924	(2,407,150)	(702,344)
At 1 July 2006	900,000	662,882	141,924	(2,407,150)	(702,344)
Transfer of excess depreciation	-	-	(3,266)	3,266	-
Deferred income tax on transfer	-	-	980	(980)	-
Loss for the year	-	-	-	(249,741)	(249,741)
At 30 June 2007	900,000	662,882	139,638	(2,654,605)	(952,085)

UCHUMI SUPERMARKETS LIMITED (IN RECEIVERSHIP) AND SUBSIDIARIES
CONSOLIDATED CASH FLOW STATEMENT
FOR THE YEAR ENDED 30 JUNE 2007

	Note	2007 KShs'000	2006 KShs'000
NET CASH FLOWS FROM OPERATING ACTIVITIES	25	(533,187)	(663,569)
Interest paid		(152,124)	(167,854)
Income tax (paid)/ refunded		-	10,391
Net cash used in operating activities		(685,311)	(821,032)
INVESTING ACTIVITIES			
Purchase of property, plant and equipment		(14,381)	(11,860)
Proceeds from sale of plant and equipment		3,554	126,499
Net cash generated from investing activities		(10,827)	114,639
FINANCING ACTIVITIES			
Proceeds from long term borrowing		868,047	1,159,924
Repayments on long term borrowing		-	(219,871)
Proceeds from debenture loan		22,000	-
Net cash generated from financing activities		890,047	940,053
NET INCREASE IN CASH AND CASH EQUIVALENTS		193,909	233,660
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		(135,816)	(377,222)
Effects of exchange rate movements on cash and cash equivalents		(4,178)	7,746
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	10	53,915	(135,816)

1. GENERAL INFORMATION

Uchumi Supermarkets Limited (in Receivership) is incorporated in Kenya under the Kenyan Companies Act. The company operates retail supermarkets in Kenya and Uganda.

The company's shares are currently suspended from the Nairobi Stock Exchange listing after it was placed under receivership on 2 June 2006.

2. ACCOUNTING POLICIES

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied, unless otherwise stated.

a) Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRSs). The financial statements are presented in the functional currency, Kenya Shillings, rounded-off to the nearest thousand and are prepared under the historical cost convention as modified by the revaluation of certain assets.

b) Revenue recognition

Sales of goods are recognised in the period in which the group delivers the product to the customer, the customer has accepted the products and the collectability of the related receivables is reasonably assured.

Sales of services are recognised in the period in which the services are rendered, by reference to the completion of the specific transaction assessed on the basis of the actual service provided as a proportion of the total services to be provided.

Revenue represents the fair value of the consideration receivable for sales of goods and services and is stated net of Value-Added Tax (VAT), rebates and discounts.

Interest income is recognised on a time proportion basis using the effective interest method.

c) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average cost method. Net realisable value is the estimate of the selling price in the ordinary course of business, less selling expenses.

d) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Buildings and freehold land are subsequently shown at market value, based on regular valuations by external independent valuers, less subsequent depreciation for buildings. All other property, plant and equipment are stated at historical cost less depreciation.

2. ACCOUNTING POLICIES (Continued)

d) Property, plant and equipment (Continued)

Increases in the carrying amount arising on revaluation are credited to a revaluation surplus reserve in equity. Decreases that offset previous increases of the same asset are charged against the revaluation surplus. All other decreases are charged to the income statement. Each year, the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the income statement) and depreciation based on the asset's original cost is transferred from the revaluation surplus to retained earnings.

Depreciation is calculated on the straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

Buildings on freehold land	Over a period of 45 years
Buildings on leasehold land	Shorter of estimated useful life or the lease term
Improvements to premises	10%
Plant and machinery	20%
Equipment and motor vehicles	15%, 20% and 25% (as applicable)

Freehold land is not depreciated as it is deemed to have an indefinite life.

The carrying values of the above mentioned tangible assets are reviewed for impairment either annually, or when events or changes in circumstances indicate the carrying value may not be recoverable.

If any such indication exists and where the carrying values exceed the estimated recoverable amount, the assets or cash-generating units are written down to their recoverable amount. The recoverable amount of equipment and motor vehicles is the greater of net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognised in the income statement.

Items of tangible assets are derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset.

Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the item) is included in the income statement in the year the item is derecognised.

2. ACCOUNTING POLICIES (Continued)

e) Foreign currency transactions

Transactions during the year are converted into Kenya Shillings at rates ruling at the transactions dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the income statement for the year in which they arise.

As at the reporting date, the assets and liabilities of foreign subsidiary are translated into the company's presentation currency (Kenya Shillings) at the rate of exchange ruling at the balance sheet date and their income statements are translated at the weighted average exchange rates for the year. Exchange differences arising on translation are taken directly to a separate component of equity. On disposal of a foreign entity, the deferred cumulative amount recognised in equity relating to that particular foreign operation is recognised in the income statement.

f) Cash and cash equivalents

Cash and cash equivalents in the balance sheet comprise cash at bank and in hand and short-term deposits with an original maturity of three months or less.

Cash and cash equivalents that have a fixed maturity date (less than 3 months) are subsequently measured at cost, as these are highly liquid and readily convertible.

Cash and cash equivalents that do not have fixed maturity dates are subsequently measured at amortised cost using the effective interest rate method.

For the purposes of the cash flow statement, cash and cash equivalents consist of cash and cash equivalents as defined above, net of outstanding bank overdrafts.

Bank overdrafts are disclosed separately under current liabilities.

g) Trade and other payables

Trade and other payables are carried at amortised cost using the effective interest rate method. Trade payables being short term in nature are carried at cost as the effect of imputing interest is considered to be insignificant.

h) Interest-bearing loans and borrowings

All loans and borrowings are initially recognised at cost, being the fair value of the consideration received net of issue costs associated with the borrowing.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest method. Amortised cost is calculated by taking into account any issue costs and any discount or premium on settlement.

2. ACCOUNTING POLICIES (Continued)

i) Trade receivables

Trade receivables are stated at their nominal value as reduced by appropriate allowances for estimated irrecoverable amounts. An estimate is made of doubtful receivables based on review of all outstanding amounts at year end. Bad debts are written off after all efforts of recovery have been exhausted.

j) Consolidation of financial statements

Subsidiaries are all entities over which the company has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are de-consolidated from the date control ceases.

The consolidated financial statements of the group comprise the financial statements of the company and its subsidiaries at the end of the reporting period.

Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

The accounting policies for the subsidiaries are consistent with the policies adopted by the company.

k) Taxation

Current taxation is provided for on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

k) Taxation (Continued)

Deferred taxation is provided using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, unused tax losses and the unused tax credits can be utilised.

l) Retirement benefit costs

The company contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to KShs.200 per employee per month.

The company's contributions to the above scheme are charged to the income statement in the year to which they relate.

2. ACCOUNTING POLICIES (Continued)

m) Employee entitlements

The monetary benefits for employees' accrued annual leave entitlement at the balance sheet date are recognised as an expense accrual.

n) Impairment of assets

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If such indication exists, the company makes an estimate of the asset's recoverable amount. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognised in the income statement.

o) Dividends

Dividends are charged to reserves in the year to which they relate. Proposed dividends are disclosed as a separate component of equity until approved.

p) Borrowing costs

Borrowing costs are recognised as an expense when incurred and measured using the effective interest rate method.

q) Provisions

Provisions are recognised when the group has a present legal or constructive obligation as a result of past events and it is probable that an out flow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made.

r) Leases

Finance leases, which transfer to the group substantially all the risks and benefits incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income.

Capitalised leased assets are depreciated over the shorter of the estimated useful life of the asset or the lease term.

Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same bases as the lease income.

Operating lease payments are recognised as an expense in the income statement on a straight-line basis over the lease term.

2. ACCOUNTING POLICIES (Continued)

s) Intangible assets and amortization

Acquired computer software licenses are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortized using the straight-line method over a period of four years.

Costs associated with developing or maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the group and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Direct costs include the software development employee costs and an appropriate portion of relevant overheads.

Computer software development costs recognised as assets are amortised over a period of four years.

t) Cost of sales

Cost of sales includes the historical costs of inventory expensed during the year including inventory losses.

u) Investments in subsidiaries

Investments in subsidiaries are carried in the company's balance sheet at cost less provisions for impairment losses. Where, in the opinion of the management, there has been impairment in the value of an investment, the loss is recognized as an expense in the period in which the impairment is identified.

v) Use of estimates in the preparation of the financial statements and assumptions made

In preparing the financial statements, management is required to make estimates and assumptions that affect reported income, expenses, assets, liabilities and disclosure of contingent assets and liabilities. Use of available information and the application of judgement is inherent in the formation of estimates. Actual results in the future could differ from these estimates which may be material to the financial statements.

Significant judgements made by management in the preparation of the financial statements relate to the following:

Property, plant and equipment
Property and equipment is depreciated over its useful life taking into account residual values, where appropriate. The actual lives of the assets and residual values are assessed annually and may vary depending on a number of factors. In reassessing asset lives, factors such as technological innovation, product life cycles and maintenance programmes are taken into account. Residual value assessments consider issues such as future market conditions, the remaining life of the asset and projected disposal values.

2. ACCOUNTING POLICIES (Continued)

v) Use of estimates in the preparation of the financial statements and assumptions made

Impairment of assets
Property, plant and equipment and intangible assets are considered for impairment if there is a reason to believe that impairment may be necessary. Factors taken into consideration in reaching such a decision include the economic viability of the asset itself and where it is a component of a larger economic unit, the viability of that unit itself.

Future cash flows expected to be generated by the assets are projected, taking into account market conditions and the expected useful lives of the assets. The present value of these cash flows, determined using an appropriate discount rate, is compared to the current net asset value and, if lower, the assets are impaired to the present value.

Provision for doubtful debts
The estimated provision for doubtful debts is based on the period for which the debt was outstanding combined with some knowledge of the financial position of the debtor and/or the circumstances surrounding the underlying transaction.

Deferred taxation assets
Deferred tax assets are recognised to the extent it is probable that taxable income will be available in future against which they can be utilised. Future taxable profits are estimated based on business plans which include estimates and assumptions regarding economic growth, interest, inflation and taxation rates and competitive forces.

3(a) PROPERTY, PLANT AND EQUIPMENT (GROUP)

	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2006	486,882	253,880	326,054	575,836	1,642,652
Additions	-	2,176	11,451	754	14,381
Disposals	-	(5,178)	(15,057)	(3,725)	(23,960)
Exchange differences	-	544	657	382	1,583
At 30 June 2007	486,882	251,422	323,105	573,247	1,634,656
DEPRECIATION					
At 1 July 2006	26,344	89,413	273,371	462,755	851,883
On disposals	-	(3,030)	(11,399)	(2,311)	(16,740)
Charge for the year	12,688	27,780	36,232	53,370	130,070
Exchange differences	-	194	470	217	881
At 30 June 2007	39,032	114,357	298,674	514,031	966,094
NET BOOK VALUE					
At 30 June 2007	447,850	137,065	24,431	59,216	668,562

In the opinion of the management, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

3(a) PROPERTY, PLANT AND EQUIPMENT (GROUP)

	Buildings and freehold land KShs'000	Improvements to premises KShs'000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2005	534,000	253,489	346,391	601,871	1,735,751
Additions	6,882	4,501	-	477	11,860
Exchange differences	-	(4,110)	(4,964)	(3,163)	(12,237)
Disposals	(54,000)	-	(15,373)	(23,349)	(92,722)
At 30 June 2006	486,882	253,880	326,054	575,836	1,642,652
DEPRECIATION					
At 1 July 2005	15,350	62,666	237,784	413,178	728,978
Disposals	(2,656)	-	(5,631)	(11,645)	(19,932)
Exchange differences	-	(1,057)	(2,581)	(1,166)	(4,804)
Charge for the year	13,650	27,804	43,799	62,387	147,640
At 30 June 2006	26,344	89,413	273,371	462,754	851,882
NET BOOK VALUE					
At 30 June 2006	460,538	164,467	52,683	113,082	790,770

In the opinion of the directors, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

3(b) PROPERTY, PLANT AND EQUIPMENT (COMPANY)

	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2006	486,882	214,693	278,728	547,896	1,528,199
Disposals	-	(5,178)	(4,370)	(2,132)	(11,680)
At 30 June 2007	486,882	209,515	274,358	545,764	1,516,519
DEPRECIATION					
At 1 July 2006	26,344	75,340	239,389	448,363	789,436
On disposals	-	(3,030)	(4,370)	(1,315)	(8,715)
Charge for the year	12,688	23,442	26,293	48,628	111,051
At 30 June 2007	39,032	95,752	261,312	495,676	891,772
NET BOOK VALUE					
At 30 June 2007	447,850	113,763	13,046	50,088	624,747

In the opinion of the management, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

3(b) PROPERTY, PLANT AND EQUIPMENT (COMPANY) – Continued

	Buildings and freehold land KShs '000	Improvements to premises KShs' 000	Plant and machinery KShs'000	Vehicles and equipment KShs'000	Total KShs'000
COST OR VALUATION					
At 1 July 2005	534,000	210,192	294,101	568,550	1,606,843
Additions	6,882	4,501	-	477	11,860
Disposals	(54,000)	-	(15,373)	(21,131)	(90,504)
At 30 June 2006	486,882	214,693	278,728	547,896	1,528,199
DEPRECIATION					
At 1 July 2005	15,350	51,529	210,899	400,889	678,667
On disposals	(2,656)	-	(5,631)	(11,645)	(19,932)
Charge for the year	13,650	23,811	34,121	59,119	130,701
At 30 June 2006	26,344	75,340	239,389	448,363	789,436
NET BOOK VALUE					
At 30 June 2006	460,538	139,353	39,339	99,533	738,763

In the opinion of the directors, appropriate provisions have been made for impaired property, plant and equipment.

Buildings and freehold land were valued in June 2004 by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus was credited to revaluation surplus in equity.

4. PREPAID OPERATING LEASE RENTALS

	Group 2007 KShs'000	Group 2006 KShs'000	Company 2007 KShs'000	Company 2006 KShs'000
Balance brought forward	151,929	160,277	49,495	57,843
Amortisation charge for the year	(271)	(966)	(271)	(966)
Disposals	-	(7,382)	-	(7,382)
At 30 June	151,658	151,929	49,224	49,495

Included in prepaid operating lease rentals for the group is a piece of land with a lease period of 99 years effective 1999 owned by Kasarani Mall Limited, a whole owned subsidiary of the company. The land was purchased in 2001 for KShs.110 million. Title to this piece of land may be defective as it is alleged by the Commissioner of Lands that the vendor had been allocated the title irregularly. In addition, the company had attempted to sell this piece of land but was unsuccessful as the Commissioner of Lands placed a caveat in the Ministry of Lands barring any developments or transactions involving the land. The would be buyer has sued the company for specific performance and the matter is still pending in court.

No provisions for impairment have been recognised in the financial statements as the Receiver Manager believes, based on the available information, that the company has good title to the land and that the caveat emptor will be lifted.

5. INVESTMENTS IN SUBSIDIARIES

	Country of incorporation	Shareholding	2007 KShs'000	2006 KShs'000
Uchumi Supermarkets (Uganda) Limited	Uganda	100%	60,000	60,000
Kasarani Mall Limited	Kenya	100%	200	200
			60,200	60,200
Less: Provision for impairment			(60,200)	(60,200)
			-	-

The principal activity of Uchumi Supermarkets (Uganda) Limited and Kasarani Mall Limited is operation of retail supermarkets and property management, respectively.

The results of Uchumi Supermarkets (Uganda) Limited and Kasarani Mall Limited have been consolidated in the financial statements. There are other wholly owned subsidiaries, Uchumi Supermarkets (Tanzania) Limited and Uchumi Holdings Limited, incorporated in Tanzania and Kenya, respectively, which have each issued two shares at nominal amounts. These subsidiaries did not have any transactions during the year.

6. INTANGIBLE ASSETS

	Group 2007 KShs'000	Group 2006 KShs'000	Company 2007 KShs'000	Company 2006 KShs'000
Balance brought forward	61,308	135,254	61,308	135,254
Armotisation charge	(61,308)	(73,946)	(61,308)	(73,946)
At 30 June	-	61,308	-	61,308

7. INVENTORIES

	Group 2007 KShs'000	Group 2006 KShs'000	Company 2007 KShs'000	Company 2006 KShs'000
Food	203,436	99,041	203,436	97,455
Non-food	99,586	173,417	99,586	84,715
Other	217,028	22,744	172,717	88,191
	520,050	295,202	475,739	270,361

8. TRADE AND OTHER RECEIVABLES

	Group 2007 KShs'000	Group 2006 KShs'000	Company 2007 KShs'000	Company 2006 KShs'000
Trade debtors	168,211	145,550	161,216	141,133
Provision for bad debts	(114,568)	(78,496)	(114,568)	(76,854)
	53,643	67,054	46,648	64,279
Prepayments and other receivables	83,746	56,713	67,694	44,895
	137,389	123,767	114,342	109,174

9. RELATED PARTY TRANSACTIONS

The group is related to various other entities through common shareholding and /or directorships. The following balances relating to transactions entered into with related parties arising from sale and purchase of goods/ services were outstanding at year end:

	Group 2007 KShs'000	Group 2006 KShs'000	Company 2007 KShs'000	Company 2006 KShs'000
Amounts due from related parties:				
Uchumi Supermarkets (Uganda) Limited	-	-	58,757	56,232
Kasarani Mall Limited	-	-	110,511	110,511
	-	-	169,268	166,743
Amounts due to related parties:				
Industrial and Commercial Development Corporation	1,869	1,869	1,869	1,869
KWA Holdings E.A Limited	6,241	4,252	6,241	4,252
	8,110	6,121	8,110	6,121
The following transactions were carried out with related parties:				
Directors' remuneration	-	17,910	-	17,910
Senior management compensation				
Salaries and other employment benefits	51,402	73,872	51,402	70,173

10. CASH AND CASH EQUIVALENTS

For the purposes of the cash flow statement, cash and cash equivalents comprise of the following at 30 June:

	2007 KShs'000	2006 KShs'000
Bank and cash balances	72,951	57,001
Bank overdraft	(19,036)	(192,817)
	53,915	(135,816)

11. SHARE CAPITAL

	2007 KShs'000	2006 KShs'000
Authorised:		
300,000,000 ordinary shares of KShs.5 each	1,500,000	1,500,000
25,000,000 preference shares of KShs.20 each	500,000	500,000
	2,000,000	2,000,000
Issued and fully paid:		
180,000,000 ordinary shares of Shs.5 each	900,000	900,000

12. RESERVES

	Group		Company	
	2007 KShs'000	2006 KShs'000	2007 KShs'000	2006 KShs'000
Accumulated losses	(2,681,926)	(2,453,131)	(2,654,605)	(2,432,629)
Share premium	662,882	662,882	662,882	662,882
Revaluation reserve	139,638	167,403	139,638	167,403
Translation reserve	(12,979)	(8,801)	-	-
	(1,892,385)	(1,631,647)	(1,852,085)	(1,602,344)

The revaluation reserve represents the surplus on the revaluation of buildings and freehold land net of deferred income tax. The reserve is non-distributable.

The translation reserve arises from translation of the net investment in Uchumi Supermarkets (Uganda) Limited.

13. LOANS

	Group		Company	
	2007	2006	2007	2006
	KShs'000	KShs'000	KShs'000	KShs'000
Borrowings are made up as follows:				
a) Non-current				
Term loan	1,597,950	802,472	1,597,950	802,472
b) Current				
Bank overdraft	19,036	192,817	9,277	192,817
Debenture loan	22,000	-	22,000	-
Term loan	72,569	-	72,569	-
	113,605	192,817	103,846	192,817
	1,711,555	995,289	1,701,796	995,289
Maturity profile of non-current borrowings				
Between 1 and 2 years	203,324	26,494	203,324	26,494
Between 2 and 5 years	203,324	219,405	203,324	219,405
Over 5 years	1,191,302	556,573	1,191,302	556,573
	1,597,950	802,472	1,597,950	802,472
Term loan				
Non-current				
Eastern and Southern African Trade and Development Bank	362,847	435,417	362,847	435,417
ICDC Investment Company Limited	40,000	40,000	40,000	40,000
Kenya Commercial Bank Limited	520,103	327,055	520,103	327,055
Government loan	675,000	-	675,000	-
	1,597,950	802,472	1,597,950	802,472
Current				
Eastern and Southern African Trade and Development Bank	72,569	-	72,569	-
Kenya Commercial Bank Limited	-	-	-	-
Industrial and Commercial Development Corporation	-	-	-	-
ICDC Investment Company Limited	-	-	-	-
	72,569	-	72,569	-

The debenture loan was obtained from shareholders during the year at a rate of 3% p.a. Its maturity date is 23 August 2007.

The term loan from Kenya Commercial Bank Limited is payable over a period of five years ending 26 November 2008.

13. LOANS (continued)

The term loan from Eastern and Southern Africa Trade and Development Bank is repayable over a period of six years from 31 August 2005.

The above borrowings (current and non-current) are secured by a debenture with a first legal charge over the entire assets of the company and with a floating charge over stocks and debtors.

The unsecured loans from Industrial and Commercial Development Corporation and Industrial and Commercial Development Corporation Investments Limited were advanced in July 2004. These two companies are shareholders in the company. The loans were converted to shares through a rights issue.

The weighted average effective interest rate at year-end was:

	2007	2006
Term loan	11.5%	11.7%
Bank overdrafts	10.6%	12.0%

In the opinion of the The Specialist Manager, the carrying amounts of borrowings approximate to their fair values. Fair values are based on discounted cash flows using a discount rate based on the borrowing rate that management expect would be available to the group at the balance sheet date.

14. TRADE AND OTHER PAYABLES

	Group		Company	
	2007	2006	2007	2006
	KShs'000	KShs'000	KShs'000	KShs'000
Trade payables	622,277	975,604	535,846	903,437
Accrued expenses	96,080	127,391	82,122	117,095
Other payables	138,120	118,366	138,120	118,366
	856,477	1,221,361	756,088	1,138,898

15. BANK OVERDRAFT

The bank overdraft is secured by a debenture with a first legal charge over the entire assets of the company and with a floating charge over inventory and debtors.

16. SALES

	Group		Company	
	2007	2006	2007	2006
	KShs'000	KShs'000	KShs'000	KShs'000
Food	2,985,770	2,341,343	2,574,542	2,018,416
Personal care	842,237	673,812	726,236	580,877
General merchandise	633,615	488,996	546,348	421,552
Textiles	41,619	47,682	35,887	41,105
	4,503,241	3,551,833	3,883,013	3,061,950

17. COST OF SALES

	Group 2007 KShs'000	Group 2006 KShs'000	Company 2007 KShs'000	Company 2006 KShs'000
Food	2,449,163	1,885,815	2,115,112	1,616,176
Personal care	691,228	542,161	596,949	464,641
General merchandise	523,255	435,127	451,886	372,911
Textiles	31,199	44,744	26,943	38,347
	3,694,845	2,907,847	3,190,890	2,492,075

18. OTHER INCOME

	Group 2007 KShs'000	Group 2006 KShs'000	Company 2007 KShs'000	Company 2006 KShs'000
Promotions income	9,397	46,758	6,929	31,844
Gain/(loss) on disposal of property, plant and equipment	(2,965)	46,276	(2,965)	46,276
Loss on disposal of prepaid operating leases	-	(7,381)	-	(7,381)
Miscellaneous income	145,901	55,847	130,266	51,318
	152,333	141,500	134,230	122,057

19. ADMINISTRATION AND ESTABLISHMENT EXPENSES

	Group 2007 KShs'000	Group 2006 KShs'000	Company 2007 KShs'000	Company 2006 KShs'000
Staff expenses	242,201	396,746	223,992	375,793
Establishment costs	393,357	430,935	321,607	387,716
Computer expenses	37,074	116,234	36,671	115,104
General expenses	127,252	87,798	99,892	72,300
Motor running expenses	11,477	19,269	9,957	11,416
Consultancy fees	13,816	21,417	11,430	17,418
Directors emoluments	-	17,910	-	17,910
Amortisation of intangible assets	61,308	73,946	61,308	73,946
Amortisation of operating lease rentals	271	966	271	966
Depreciation of property and equipment	130,070	149,289	111,051	130,701
	1,016,826	1,314,510	876,179	1,203,270

20. SELLING AND DISTRIBUTION

	Group 2007 KShs'000	Group 2006 KShs'000	Company 2007 KShs'000	Company 2006 KShs'000
Marketing expenses	48,339	54,202	43,421	51,386

	Group		Company	
21. FINANCE COSTS	2007	2006	2007	2006
	KShs'000	KShs'000	KShs'000	KShs,000
Bank charges and commission	1,474	7,452	1,151	7,452
Interest – bank overdraft	11,949	26,500	11,949	26,500
Interest – unsecured loans	2,908	4,852	2,908	4,852
Interest – secured loans	125,943	113,752	125,943	113,752
Interest – other	70	8,567	70	8,567
Credit card commission	7,130	6,731	11,823	6,731
Debenture issue expenses	2,650	-	2,650	-
	152,124	167,854	156,494	167,854

22. LOSS BEFORE TAXATION

The loss before taxation is stated after charging:-

	Group 2007	Group 2006	Company 2007	Company 2006
Depreciation of property and equipment	130,070	147,640	111,051	130,701
Amortisation of intangible assets	61,308	73,946	61,308	73,946
Amortisation of operating lease rentals	271	966	271	966
Directors' emoluments:				
Fees for services as directors	-	360	-	360
Other emoluments	-	17,550	-	17,550
Auditors' remuneration	5,000	4,000	5,000	4,000
Receivership costs	6,000	25,000	6,000	25,000
Staff costs:				
Salaries and wages	242,201	381,864	223,992	360,911
Pension costs - defined benefits scheme	-	12,836	-	12,836
- NSSF	1,201	2,046	1,201	2,046

23. TAXATION

BALANCE SHEET	Group 2007	Group 2006	Company 2007	Company 2006
Balance brought forward	11,147	21,538	11,147	21,538
Paid during the year	-	(10,391)	-	(10,391)
	11,147	11,147	11,147	11,147

INCOME STATEMENT
There is no corporation tax charge due to accumulated tax losses brought forward and losses made during the year.

DEFERRED TAX
A net deferred tax asset of KShs.239,384,420 (2006:KShs.159,714,902) has not been recognised in respect of the accumulated tax losses and other temporary differences, as the company will not have substantial taxable profits in the foreseeable future, against which the tax losses and other temporary differences can be utilized.

24. SEGMENT INFORMATION

	Kenya Kshs '000	Uganda Kshs '000	Group KShs '000
Year ended 30 June 2007:			
Sales	3,883,013	620,244	4,503,257
Operating (loss)/ profit	(249,741)	6,819	256,560
Current assets	839,938	92,867	763,537
Non-current assets	673,971	43,815	820,220
Total segment assets	1,513,909	136,682	1,583,757
Current liabilities	868,044	168,906	978,192
Non current liabilities	1,597,950	-	1,597,950
Total segment liabilities	2,465,994	168,906	2576,142
Year ended 30 June 2006			
Sales	3,061,950	489,883	3,551,833
Operating (loss)/ profit	(730,578)	(20,502)	(751,080)
Current assets	588,398	65,460	487,117
Non-current assets	849,566	52,008	1,004,007
Total segment assets	1,437,964	117,468	1,491,124
Current liabilities	1,337,836	138,693	1,420,299
Non current liabilities	802,472	-	802,472
Total segment liabilities	2,140,308	138,693	2,222,771

Sales revenue is based on the country in which the sales took place. Total assets are shown by the geographical area in which the assets are located. Both geographical segments are involved in the operation of retail supermarkets.

Segment assets consist primarily of property, plant and equipment, intangible assets, inventories, receivables and operating cash and exclude investments and amounts due from subsidiaries. Segment liabilities consist of operating liabilities and exclude items such as dividends payable and amounts due to the parent company.

25. CASH FLOWS FROM OPERATING ACTIVITIES	2007 KShs'000	2006 KShs'000
Loss before income tax	(256,560)	(751,080)
Adjustments for:		
Depreciation on property, plant and equipment	130,070	147,640
Amortisation of prepaid operating lease rentals	271	966
Amortisation of intangible assets	61,308	73,946
Loss/(gain) on sale of property, plant and equipment	2,965	(46,276)
Loss on disposal of leasehold property	-	7,381
Interest	152,124	167,854
Trade and other receivables	(13,622)	79,417
Due from related parties	1,989	(3,968)
Inventories	(224,848)	(6,896)
Trade and other payables	(364,884)	(332,553)
Short term deposits	(22,000)	-
	(533,187)	(663,569)

26. LOSS PER SHARE

The loss per share is calculated on the loss after taxation and on the number of ordinary shares in issue during the year, as follows:-

	Group		Company	
	2007 KShs'000	2006 KShs'000	2007 KShs'000	2006 KShs'000
Loss for the year	256,560	751,080	249,741	730,578
Number of ordinary shares	180,000	180,000	180,000	180,000
Loss per share	1.43	4.17	1.39	4.06

27. COMMITMENTS

Capital commitments

There were no contracted capital commitments as at 30 June 2007 and 30 June 2006.

Operating lease commitments

The future minimum lease payments under non-cancellable operating leases are as follows.

	Group		Company	
	2007	2006	2007	2006
	KShs'000	KShs'000	KShs'000	KShs'000
Operating lease commitments				
Not later than one year	233,701	244,747	182,523	196,614
Later than one year and not later than five years	590,176	736,966	428,241	523,853
Later than five years	492,519	582,147	492,519	582,146
	1,316,396	1,563,860	1,103,283	1,302,613

28. CONTINGENT LIABILITIES

The group is a defendant in various legal actions. In the opinion of The Specialist Receiver Manager, after taking appropriate legal advice, the outcome of such actions will not give rise to any significant losses.

29. COMPARATIVES

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.